

Applicable Law Acts

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User Query :

I gave my mobile number, email address, identification details and other personal information to an online service for account verification. A few months later, I learned that the company's database had been accessed by an unauthorized person and customer information was circulating online. The company knew about the incident but did not inform affected users for some time. What legal provisions may apply?

Job Id. : Scenario 10/Combined Act

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Date : 25 August 2026

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AI-Powered Legal Intelligence Platform

INFORMATION TECHNOLOGY (IT) ACT, 2000

APPLICABLE SECTIONS

Section 72A	(Punishment for disclosure of information in breach of lawful contract)
Section 72	(Punishment for breach of confidentiality and privacy)
Section 66C	/66D (Identity theft/cheating by personation; *not directly applicable without evidence of misuse*)

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

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Section 72A is the primary provision: The company, as an intermediary holding personal data under a lawful contract (account verification), breached confidentiality by failing to secure the data, leading to unauthorized disclosure ("data circulating online").

Critical Gap: The IT Act lacks mandatory breach-notification requirements. The company's delayed notification to users does not attract criminal liability under the IT Act (per **Shreya Singhal** and **Puttaswamy** judgments). ** Section 72 ** may apply if the breach stems from negligence in security measures, but ** Section 66C /66D** require proof of fraudulent misuse (absent in the scenario).

✓ STRENGTHS & RIGHTS

- 1
- Criminal liability for data disclosure (imprisonment up to 3 years, fine up to ₹1 lakh under Section 72A).
- 2
- Admissibility of electronic evidence (Section 65B) for breach investigations.

✗ RISKS & OBLIGATIONS

- 1
- No notification mandate**

Delayed user notification is legally permissible, leaving victims vulnerable.
- 2
- Burden of proof**

Victim must establish the company's contractual access to data and negligence.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

- 1. File a complaint with the Cyber Crime Cell (**Section 72A**) or CERT-In, providing:
- 2. Screenshots of circulating data.
- 3. Proof of account verification (e.g., email receipts).
- 4. Electronic evidence (certified under **Section 65B**).
- 5. Note: Civil suit for damages under **Section 72A** (2) is possible, but criminal prosecution **only** for the disclosure itself (not the notification delay).

DIGITAL PERSONAL DATA PROTECTION ACT (DPDP), 2023

APPLICABLE SECTIONS

Section 11	(1)(a) (Mandatory security practices to prevent breaches).
Section 11	(2) (Mandatory breach notification to Board <i>*and*</i> affected data principals within "reasonable time").
Section 17	(2) (Penalties for failure to comply with notification obligations).
Section 2	(1)(n) (Definition of "data breach" as "unauthorized access to personal data").

INTERPRETATION & LEGAL ANALYSIS

AI-generated legal interpretation

1 The company’s delayed notification ("a few months") violates **Section 11** (2), which requires prompt notification to both the Data Protection Board **and** users. "Reasonable time" standard: Given the sensitivity of ID details, email, and mobile numbers, "a few months" is objectively unreasonable. **Section 17** (2) penalizes this **standalone failure**—no proof of harm or misuse required. ** Section 11* (1)(a)*** is breached by the security lapse causing the breach.

✓ STRENGTHS & RIGHTS

1 Right to notification

Data principals can demand written breach details (nature, mitigation steps, grievance officer contact).

2 Right to compensation (Section 15) for harm (e.g., financial loss from fraud using leaked data).**3 Right to grievance redressal**

Company must appoint a grievance officer within 30 days of complaint.

X RISKS & OBLIGATIONS**1 Severe penalties**

Up to ₹250 crore (or 4% of global turnover) under **Section 17** (2).

2 Compliance burden

Mandatory security audits (**Section 18**), breach impact assessments, and annual security reviews.

PROCEDURAL NOTES & COMPLIANCE STEPS

Actionable steps for compliance and grievance redressal

COMPLIANCE STEPS

1. Step 1: Demand notification from the company's grievance officer (**Section 15**).
2. Step 2: If unresolved in 30 days, escalate to the Data Protection Board (**Section 17** (1)).
3. Board action:
4. Order immediate breach notification (**Section 11** (2)).
5. Impose penalties within 90 days of complaint (**Section 17** (2)).
6. Timeline:
7. | Action | Deadline |
8. |-----|-----|
9. | Discover breach | Immediately |
10. | Notify Board + users | *Reasonable time* (violated if "a few months") |
11. | Board's penalty order | Within 6 months |

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